

The very best way to establish credit, initially, is to borrow against an acceptable asset. For example, if you have saved \$1,000 and want to borrow the same amount, almost any bank will lend you \$1,000, using the savings as collateral. Usually the lender will charge from 1 to 2 percent more for the loan than the prevailing savings rate. So, in essence, it costs about 2 percent interest to establish a good credit history. For a one-year loan of \$1,000, the net cost would be approximately \$20.

Then, by using the bank as a credit reference, almost anyone can qualify for a major credit card, although the credit limit would normally be the minimum amount. I don't mean to imply that everyone should get a credit card, or that everyone will be able to manage one properly. But credit is relatively simple to establish if you have already acquired the discipline of saving.

Credit card living has become a way of life for many people in our culture. It has been my experience that if someone who has never had credit wishes to acquire a credit card and tries enough places, somebody will issue one. The difficulty is that once the first company issues a card and the person uses it wisely, other companies will soon follow suit, and he or she will be swamped with credit card offers. The temptation of too much credit is often overwhelming for a young person (or couple) and for many other people, and serious indebtedness can be the result.

I offer the following advice to anyone using credit cards for the first time or who has ever gotten into trouble through the misuse of credit cards. It is good advice, and it will save you many problems.

1. Never use a credit card to buy anything that is not in your budget for the month—which means, in turn, that you will need a budget. It is tempting to use a credit card when you are on vacation and run out of your allocated vacation funds, or when you need clothes but don't have the money to take advantage of the great sale in progress, or when you need tires for the car but don't have the money saved, or when you're out of work and need food, utilities, and rent.